ALY6130 RISK MANAGEMENT for ANALYTICS

Assignment: 6 - Signature Assessment Report

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Presented by: Group 2

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1. Introduction

This report presents a comprehensive Enterprise Risk Management (ERM) assessment of EQB Inc.'s acquisition of PC Financial from Loblaw Companies Limited a CAD 800 million transaction announced December 3, 2025, with expected close within calendar year 2026. The assessment covers all 40 risks identified across the acquisition lifecycle, spanning operational, strategic, financial, regulatory, legal, reputational, and governance dimensions. It progresses from qualitative risk identification through quantitative analysis using Indicators and Warnings (I&W) methodology, Monte Carlo simulation, and machine learning classification, concluding with response strategies and Key Risk Indicators (KRIs) designed to support EQB's Integration Management Office throughout the 2026 integration window. All analysis is conducted ex-ante, positioned at the December 2025 deal announcement date

2.Background of the Announced Merger and Acquisition

On December 3, 2025, EQB Inc. the parent company of Equitable Bank and its consumer brand EQ Bank announced an agreement to acquire PC Financial from Loblaw Companies Limited for approximately CAD 800 million. The transaction is structured as a combination of cash and EQB equity, resulting in Loblaw holding a 17% ownership stake in EQB and two board seats. The deal requires approval from Canada's Minister of Finance under the Bank Act and clearance under the Competition Act, with an expected close within calendar 2026 (EQB Inc., 2025).

EQB Inc. is Canada's seventh-largest bank by assets. Launched in 2016 as a fully digital, no-branch institution, EQ Bank served approximately 607,000 customers and managed CAD 138 billion in assets by late 2025, operating entirely on Microsoft Azure infrastructure and the Temenos core banking platform. EQ Bank has earned a place on the Forbes World's Best Banks list every year since 2021, reflecting strong institutional credibility for a challenger bank of its size.

PC Financial is the retail banking arm of Loblaw Companies, established in 1998. It serves over 2.5 million customers, manages more than two million active PC Mastercard credit card accounts, holds CAD 5.8 billion in assets, and operates banking kiosks in over 2,500 Loblaw store locations across Canada. PC Financial recently migrated to the same Temenos core banking platform used by EQ Bank reducing technical integration complexity materially compared to a dual-platform merger. Through the PC Optimum loyalty program, PC Financial is embedded in the everyday spending of 17 million Canadians across grocery, pharmacy, and fuel channels.

The acquisition pursues three strategic objectives: entry into the credit card and everyday banking market where EQB has no prior experience; access to over 2,500 physical retail touchpoints transforming EQ Bank from digital-only to omnichannel; and an exclusive 12-year financial services partnership with the PC Optimum ecosystem. While Loblaw's 17% equity stake and two board seats create structural alignment between the two organizations, they also establish a commercial dependency that carries its own risk profile throughout the integration period.

The transaction arrives during a period of financial stress for EQB. Q4 2025 results included an 8% workforce reduction, CAD 92 million in restructuring charges, revenue down 5% year-over-year, and adjusted net income down 32%. Integration costs are estimated at CAD 105 million against a projected CAD 30 million in annual cost synergies, and EQB's CEO Chadwick Westlake has identified a return to 15%+ ROE as the company's primary financial target (EQB Inc., 2025; Defense World, 2026). This financial context is material to the risk assessment: EQB is simultaneously entering an unfamiliar competitive arena, scaling its customer base nearly sixfold, navigating active regulatory review by OSFI and the Competition Bureau, and managing all of this on a compressed balance sheet with limited margin for concurrent cost overruns and risk events.

3. Identification of Risks

Risk identification followed a structured, three-phase approach. Phase 1 used SWOT analysis to map EQB's strengths (shared Temenos platform, CET1 13.3%, PC Optimum access), weaknesses (no credit card experience, security scaling from 607K to 3.5M customers), opportunities (cross-sell, omnichannel, AI personalization), and threats (Big Six competition, cybersecurity exposure, regulatory dependency on Loblaw). Phase 2 formalized three anchor risks with structured cause-risk-result statements. Phase 3 expanded the register to 40 risks across five categories operational, strategic, financial, reputational, and governance

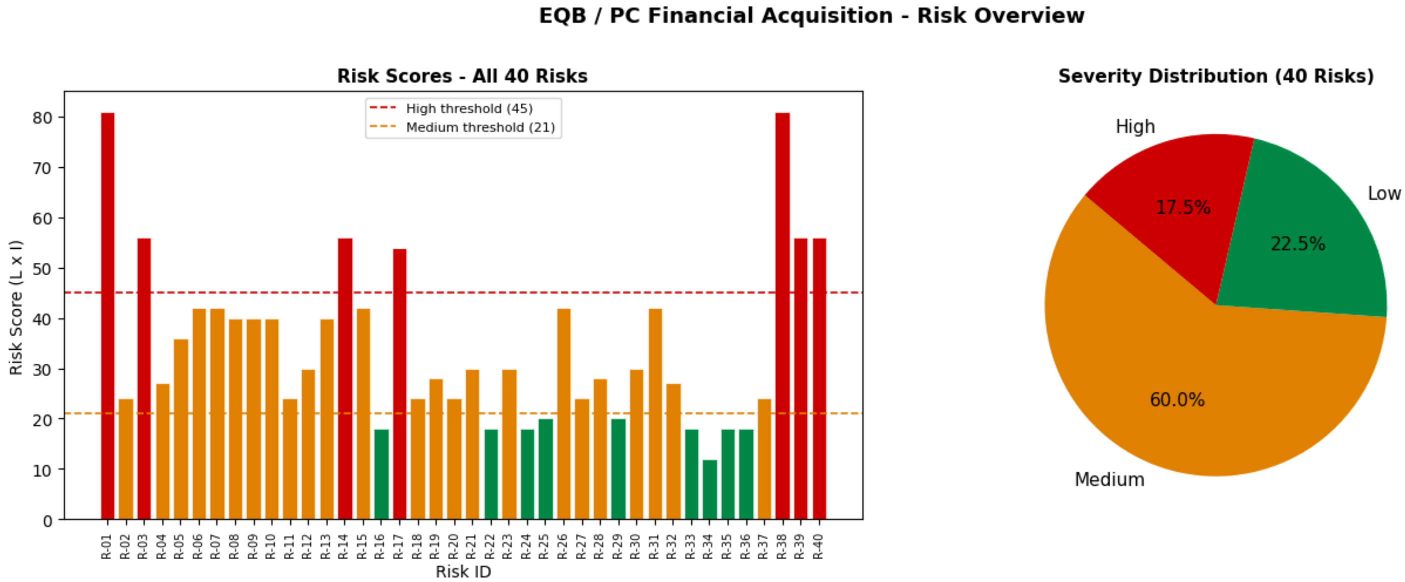

Figure 1: Risk Overview Distribution

Each risk was scored using a non-standard Likelihood × Impact scale: Likelihood values of 1, 3, 5, 7, or 9; Impact values of 1, 2, 4, 6, 8, or 9; Risk Score = L × I (range 1–81). Priority thresholds: High (Score ≥ 45), Medium (21–44), Low (≤ 20). The register includes 37 threat risks and 3 positive risks (opportunities), all three of which scored in the High zone. Distribution contained 7 High, 25 Medium, 8 Low.

Severity	Count	Score Range	Representative Risks
High	7	Score 45–81	R-01 Cybersecurity (81), ★R-38 Cross-Sell Opp. (81), R-03 Customer Attrition (56), R-14 PIPEDA (56), ★R-39 Omnichannel (56), ★R-40 AI Personalization (56), R-17 Fraud Spike (54)
Medium	25	Score 21–44	R-06 Brand Confusion (42), R-07 Cost Overrun (42), R-15 Competitor Poaching (42), R-05 Talent Loss (36), R-08 Loblaw Dependency (40), R-10 Interest Rate (40), R-02 Regulatory Delay (24), R-27 AML (24) and 17 others
Low	8	Score 1–20	R-16 System Downtime (18), R-22 Wrongful Dismissal (18), R-24 Mis-Selling (18), R-25 Vendor Lock-In (20), R-34 Governance Lag (12) and 3 others

Table1: Risk Representation

3.1 High Priority Risks

The **highest-scoring threat risk** is R-01: Cybersecurity Breach During System Integration (Score 81, L=9, I=9). EQB's simultaneous management of two distinct banking environments during integration creates a significantly expanded attack surface. The migration of over 2 million credit card accounts and 17.5 million PC Optimum loyalty records onto EQB's Azure infrastructure creates temporary vulnerabilities in access controls, authentication systems, and data migration pipelines windows that sophisticated threat actors specifically exploit during M&A integration periods (OSFI, 2022).

The **highest-scoring opportunity** risk is ★R-38: Cross-Sell Conversion Opportunity (Score 81, L=9, I=9). Approximately 90% of PC Financial's 2.5 million credit card holders currently hold no deposit product, representing a large, pre-qualified audience for EQ Bank's savings, GIC, and mortgage products. Combined with exclusive 12-year PC Optimum access, this cross-sell opportunity is the primary revenue driver underpinning the CAD 800 million acquisition price and EQB's stated goal of returning to 15%+ ROE (EQB Inc., 2025; Defense World, 2026).

3.2 Risk Interdependencies

Several risks must be managed as a connected system rather than in isolation. R-01 (Cybersecurity) and R-17 (Fraud Spike) are operationally distinct R-01 concerns external adversarial breach of EQB's systems while R-17 concerns criminal exploitation of customer-facing authentication confusion but both peak during the same 90-day dual-system integration window, and a breach can directly accelerate fraud incidents. R-02 (Regulatory Delay) amplifies R-03 (Customer Attrition): every additional month of regulatory limbo gives Big Six banks and fintechs more time to target transitioning PC Financial customers. Most critically, R-03(Customer Attrition) directly erodes the addressable base for R-38(Cross Sell Opportunity), customers lost to attrition during migration are permanently removed from the cross-sell funnel, making the threat and opportunity operationally correlated. These interdependencies are incorporated in the quantitative scenario modeling and response sequencing.

3.3 Risk Heat Map

The heat map below visualizes all 40 risks across the Likelihood × Impact grid. Red cells represent the High-priority zone (Score ≥ 45), yellow the Medium zone (21–44), and green the Low zone (≤ 20). Positive risks (opportunities) are identified with ★ and plotted in dark green. The concentration of seven High risks in the upper-right quadrant reflects the integration execution window as the period of maximum risk exposure.

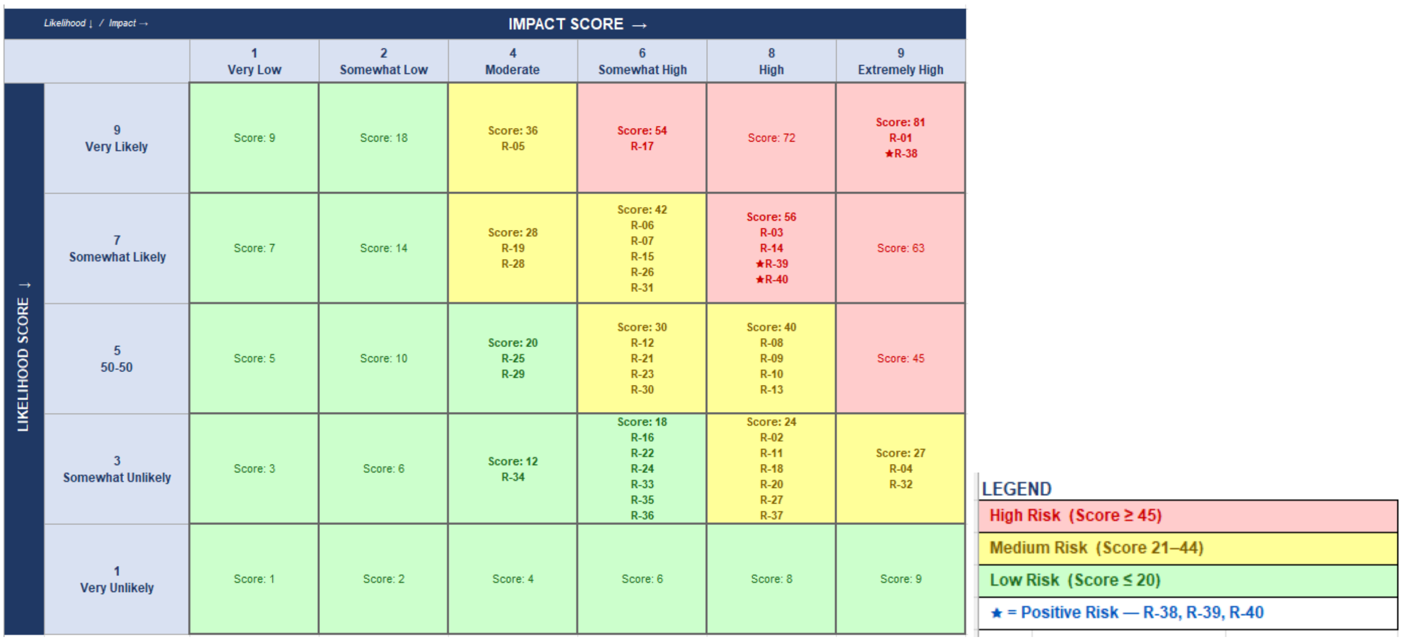

Figure 2: Risk Heat Map -EQB Inc. / PC Financial Acquisition (40 Risks)

4.Qualitative Risk Assessment

4.1 Scenario Analytics

- **Scenario A Base Case (Estimated probability: 50%):** Regulatory approval within 12 months; IT migration completes without material breach; cross-sell conversion achieves 12–15% at 18 months; customer attrition stays below 3% monthly. Net risk-adjusted value: **+CAD 62M** (opportunity MC mean of +CAD 147.6M against threat reserve of CAD 122.1M, partially offset by CAD 105M integration costs). Full synergy realization within 24 months; EQB's path to 15%+ ROE remains on track.
- **Scenario B Stressed Integration (Estimated probability: 35%):** Regulatory delay of 12–18 months with data-use conditions imposed on PC Optimum partnership; moderate security incidents requiring remediation; customer churn at 5–8%; integration costs overrun by 10–15%. Modeled financial impact: threat reserve consumed to approximately CAD 140M+; ★R-38 cross-sell upside reduced to approximately +CAD 50M due to churn erosion of the 2.25M non-deposit cardholder conversion base. Net EMV approaches breakeven. EQB's post-restructuring financial position comes under visible pressure.
- **Scenario C Adverse (Estimated probability: 15%):** Cybersecurity breach within 6 months of close triggers OSFI B-13 enforcement action; Competition Bureau imposes structural conditions restricting PC Optimum data use; customer

attrition exceeds 15%. R-01 tail exposure reaches CAD 180M+; ★R-38 upside is permanently impaired, reducing combined opportunity EMV to near zero. Modeled net loss: −CAD 118M against the integration budget. Low probability but not implausible given elevated nation-state cyber activity targeting Canadian financial institutions in 2024–2025 and the deal's high public profile.

Scenario analysis confirms R-01 and R-03 as the most differentiating risks between a positive and adverse outcome, with a probability-weighted expected value across all three scenarios of approximately +CAD 26M validating their priority as the primary quantitative modeling candidates.

4.2 Industry Fusion Analytics

Applying IFA to the intersection of EQB's savings and mortgage risk profile with PC Financial's credit card and retail banking risk profile reveals four critical risk fusion zones that would not appear in a conventional single-institution assessment:

- Fraud Risk Fusion: EQB's deposit fraud detection models are calibrated for savings product attack patterns and are not validated for credit card CNP fraud signatures creating a measurable blind spot during the dual-system window and directly motivating the R-17 quantitative assessment. CNP fraud constitutes approximately 80% of Canadian card fraud losses (Payments Canada, 2024).
- Regulatory Risk Fusion: OSFI's prudential supervision of EQB fuses with FCAC's credit card consumer protection obligations a combined regulatory surface EQB has not previously navigated. Simultaneously satisfying B-13 technology risk requirements and FCAC's code of conduct for credit card issuers creates new compliance complexity.
- Data Risk Fusion: EQB's banking transaction data fuses with PC Optimum's retail loyalty data across grocery, pharmacy, and fuel spending for 17 million Canadians. This combination creates new PIPEDA consent, data minimization, and secondary use obligations that significantly exceed EQB's prior compliance scope as a savings and mortgage bank.
- Technology Risk Fusion: Although both organizations share the Temenos platform, their Azure configurations, access control schemas, and API architectures are distinct. Configuration divergence not platform incompatibility is the primary technology integration risk, making pre-migration red-team testing and phased migration essential.

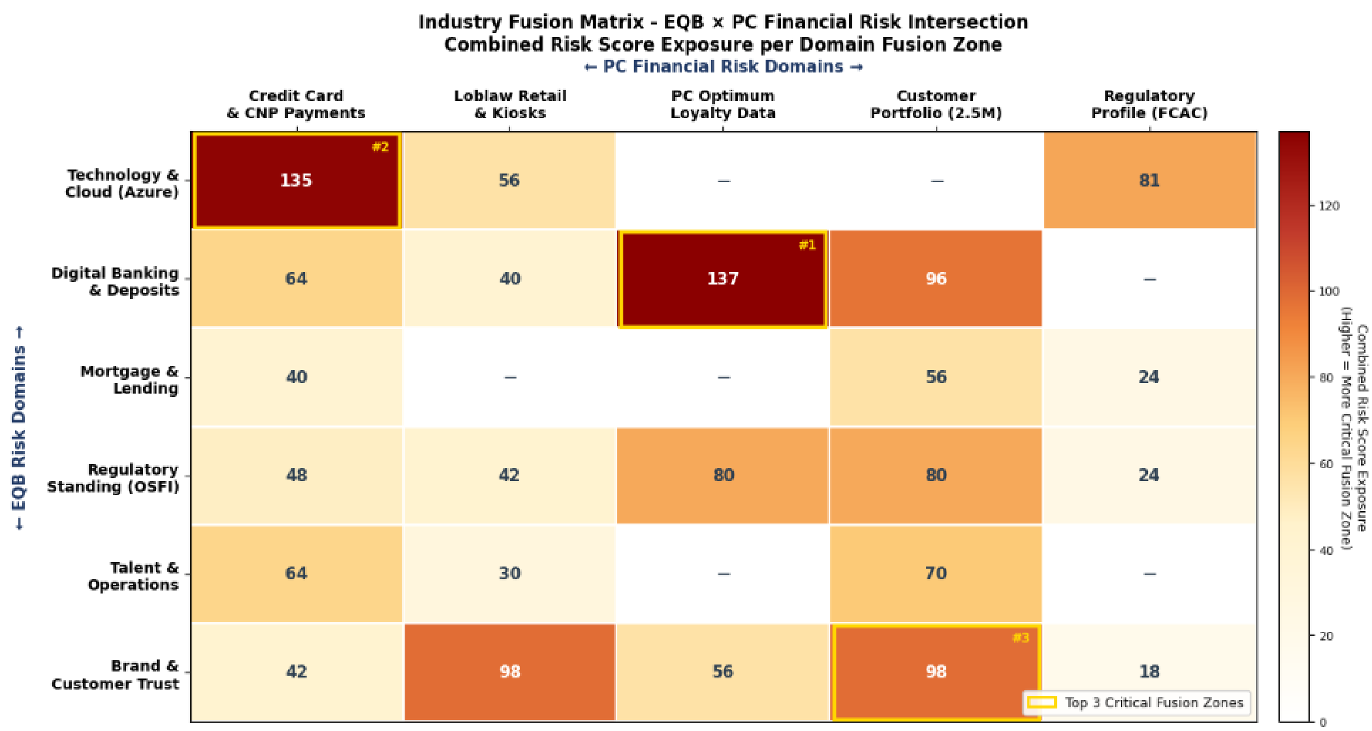

Figure 3: Industry Fusion Matrix

5. Quantitative Risk Assessment

Three quantitative techniques were applied to the 7 priority risks: (1) Indicators and Warnings (I&W) Analysis with EMV computation using three observable warning indicators per risk; (2) PERT-based Monte Carlo Simulation (10,000 iterations per risk); and (3) Random Forest ML classification for independent validation of priority tier tagging across all 40 risks. Probabilities were calibrated to the likelihood scale (L=9 ≈ p~0.80; L=7 ≈ p~0.60) and anchored to EQB's disclosed financials: CAD 800M deal price, CAD 105M integration budget, CAD 30M annual synergy target.

5.1 Monte Carlo Simulation Summary

The table below consolidates EMV, Monte Carlo Mean, and Monte Carlo Median for all High-priority risks. Total EMV represents the sum of indicator-level expected monetary values from the I&W analysis. MC Mean and Median are derived from 10,000 PERT-distributed simulation iterations, providing a probability-weighted central estimate more reliable than point estimates alone for contingency reserve planning. Positive risks are shaded green their EMV represents expected revenue gain rather than cost loss.

Risk ID	Risk	Priority	Total EMV (CAD)	MC Mean (CAD)	MC Median (CAD)
R-01	Cybersecurity Breach During IT Integration	High	68,500,000	57,800,000	57,700,000
R-03	Customer Attrition from PC Financial Portfolio	High	33,000,000	25,800,000	25,800,000
R-14	PIPEDA / Privacy Compliance Failure	High	22,400,000	18,100,000	18,000,000
R-17	Fraud Spike During Integration	High	25,250,000	20,400,000	20,300,000
R-02	Regulatory Approval Delay (included: deal-blocking tail risk)	Medium	17,400,000	16,200,000	16,200,000
★R-38	Cross-Sell Conversion Opportunity	High (Positive)	+104,000,000	+83,600,000	+83,500,000
★R-39	Omnichannel Expansion Opportunity	High (Positive)	+38,000,000	+30,400,000	+30,300,000
★R-40	AI Personalization Opportunity	High (Positive)	+42,000,000	+33,600,000	+33,500,000
Net Threat Reserve (R-01 + R-03 + R-14 + R-17)			**149,150,000**	**122,100,000**	**122,000,000**
Net Opportunity Upside (★R-38 + ★R-39 + ★R-40)			**+184,000,000**	**+147,600,000**	**+147,300,000**

Table 2: Quantitative Risk Assessment

The net threat EMV of CAD 149.2M (MC mean: CAD 122.1M) across the four High-priority threat risks is the recommended minimum contingency reserve for EQB's Integration Management Office. This figure materially exceeds EQB's disclosed CAD 105M integration budget meaning concurrent risk materialization and cost overruns would pressure EQB's CET1 ratio and post-restructuring financial position at the same time. R-01 Cybersecurity carries a disproportionate share at CAD 68.5M EMV, with a 95th-percentile Monte Carlo outcome approaching CAD 180M over twice the deal's annual synergy target. The gap between R-01's total EMV (CAD 68.5M) and MC mean (CAD 57.8M) reflects the dominance of low-probability catastrophic tail scenarios, which is precisely why cyber insurance as a transfer mechanism is included in the response strategy rather than relying on self-insurance through the integration budget.

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MONTE CARLO SIMULATION RESULTS - EQB / PC FINANCIAL ACQUISITION
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Risk ID    Priority   Type             MC Mean      MC Median      Std Dev          P5          P95
------------------------------------------------------------------------------------------
R-01       High       Threat      CAD    89.7M  CAD    87.9M  CAD  29.8M  CAD   43.9M  CAD  141.8M
R-03       High       Threat      CAD    40.1M  CAD    39.0M  CAD  13.2M  CAD   20.0M  CAD   62.9M
R-14       High       Threat      CAD    25.2M  CAD    24.7M  CAD   7.8M  CAD   13.4M  CAD   39.0M
R-17       High       Threat      CAD    31.7M  CAD    30.9M  CAD  10.3M  CAD   16.0M  CAD   49.9M
R-02       Medium*    Threat      CAD    26.6M  CAD    25.2M  CAD  11.7M  CAD   10.2M  CAD   48.0M
★R-38      High       Positive   +CAD   102.2M +CAD   101.8M  CAD  25.1M +CAD   61.5M +CAD  144.1M
★R-39      High       Positive   +CAD    41.1M +CAD    40.7M  CAD  10.8M +CAD   24.3M +CAD   59.3M
★R-40      High       Positive   +CAD    45.9M +CAD    45.0M  CAD  12.0M +CAD   27.5M +CAD   66.9M
------------------------------------------------------------------------------------------
Net Threat Reserve (High risks)   CAD   186.7M   CAD   182.6M
Net Opportunity Upside           +CAD   189.3M  +CAD   187.6M
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PERT Standard Deviations (σ) — confirms variance measurement per PERT formula σ = (P−O)/6:
  R-01    : MC σ = CAD 29.8M  |  PERT σ = CAD 30.0M
  R-03    : MC σ = CAD 13.2M  |  PERT σ = CAD 13.3M
  R-14    : MC σ = CAD 7.8M  |  PERT σ = CAD 7.8M
  R-17    : MC σ = CAD 10.3M  |  PERT σ = CAD 10.3M
  R-02    : MC σ = CAD 11.7M  |  PERT σ = CAD 11.7M

NOTE: Positive risks (★) report expected REVENUE GAIN, not cost exposure.
Net risk-adjusted acquisition value = +CAD 2.5M (MC Mean basis, High risks only)

* R-02 included separately: Medium by score (24) but carries asymmetric
  deal-blocking tail risk (P=CAD 75M) from potential conditional approval.
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Figure 4: MonteCarlo Simulation Reslts

PERT standard deviations confirm variance measurement per σ = (P−O)/6: R-01 σ = CAD 30.0M (widest distribution catastrophic tail dominates), R-03 σ = CAD 13.3M, R-17 σ = CAD 10.3M, R-02 σ = CAD 11.7M, and R-14 σ = CAD 7.8M (narrowest regulatory fine structure bounds the range). R-01's variance (σ^2 = CAD 900M^2) is more than five times R-14's (σ^2 = CAD 60.8M^2), confirming cybersecurity as the single greatest source of financial uncertainty in the integration

R-02 (Regulatory Delay) is included in the table despite its Medium score because its potential to conditionally restrict PC Optimum data use carries a standalone consequence estimated at CAD 60M+ in foregone 3-year synergies an asymmetric tail that a Medium priority classification alone does not capture. On the opportunity side, the three positive risks generate a combined EMV of +CAD 184M (MC mean: +CAD 147.6M), confirming that the net risk-adjusted value of the acquisition remains strongly positive if the cross-sell, omnichannel, and AI personalization strategies execute as modeled.

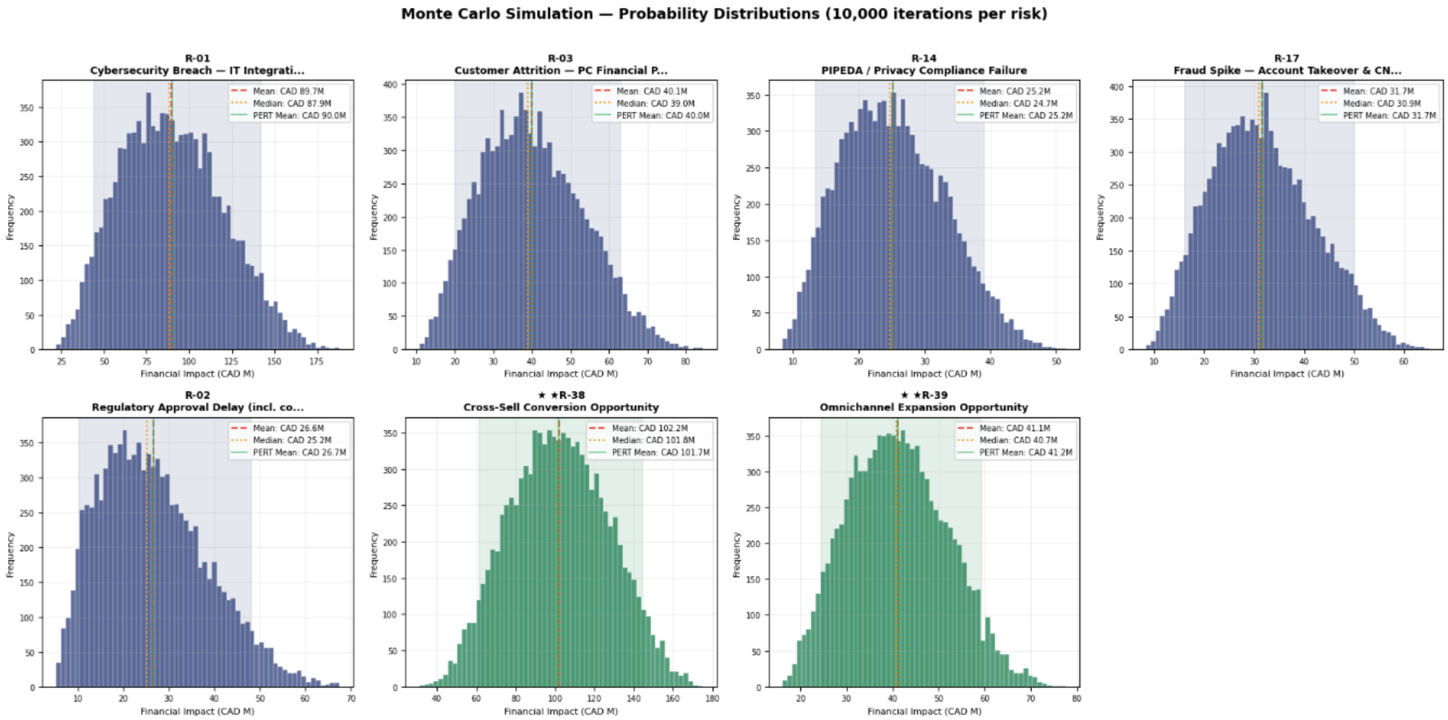
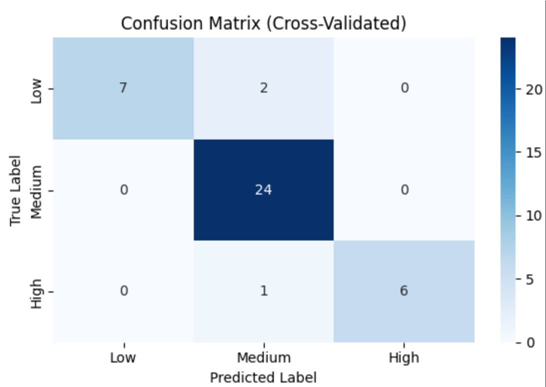


Figure 5: MonteCarlo Simulation Probability Distribution

5.2 ML-Based Risk Prediction: Random Forest Classifier

A Random Forest classifier was trained on the 40-risk register using Likelihood and Impact as input features and Severity (High/Medium/Low) as the target class. The model achieved 93% mean cross-validation accuracy correctly classifying all 25 Medium risks, 6 of 7 High risks, and 7 of 8 Low risks.With the feature importance analysis: Impact score contributes approximately 68% of classification weight vs. 32% for Likelihood.

This has a material practical implication: high-impact, lower-likelihood risks like R-02 (Regulatory Delay, L=3, I=8, Score=24) and R-32 (Macro Shock, L=3, I=9, Score=27) are correctly classified as warranting elevated attention despite their Medium priority scores. The model independently validates the qualitative judgment that R-02's deal-blocking potential cannot be assessed solely through its likelihood score

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Classification Report:
              precision    recall  f1-score   support

        High       1.00      0.86      0.92         7
         Low       1.00      0.78      0.88         9
      Medium       0.89      1.00      0.94        24

    accuracy                           0.93        40
   macro avg       0.96      0.88      0.91        40
weighted avg       0.93      0.93      0.92        40

Confusion Matrix:
[[ 6  0  1]
 [ 0  7  2]
 [ 0  0 24]]
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Figure 6: Random Classifier -Confusion Matrix and Classification Report

5.3 Integrated Situation Assessment

Business environment factors directly shape the risk probability distributions modeled in this assessment. Competitive pressure from Koho (1.2M+ users), Neo Financial, and Canada's Big Six banks narrows the window in which EQB can stabilize its acquired customer base before competitors act, elevating the likelihood parameters for R-03 (Customer Attrition) above what a standalone migration would produce. EQB's Q4 2025 financial position CAD 92M in restructuring charges, net income down 32% year-over-year compresses the capital buffer available to absorb concurrent risk events, effectively raising the real cost of R-01 tail scenarios above the modeled EMV figure: a CAD 200M breach outcome against a CAD 105M integration budget leaves EQB with no financial cushion without accessing its CET1 buffer.

Non-business environment factors operate through regulatory and macroeconomic channels. OSFI Guideline B-13 creates the enforcement infrastructure through which a cybersecurity breach becomes a regulatory event non-compliance elevates the OSFI mandatory notification probability from 0.15 toward materially higher values, converting an operational incident into a capital and reputational event simultaneously. PIPEDA consent obligations constrain the scope of PC Optimum data integration that drives the ★R-38 cross-sell and ★R-40 AI personalization upside scenarios any OPC enforcement action restricting secondary data use would permanently impair both revenue models. The Competition Bureau's data concentration review introduces a further structural risk: conditional approval requiring divestiture of portions of the PC Financial portfolio or restrictions on the PC Optimum commercial agreement would fundamentally alter the acquisition economics and directly impair the financial rationale behind the CAD 800M price. Finally, Bank of Canada rate sensitivity and CMHC housing market monitoring create the macro tail for R-32 that, while carrying a low likelihood score (L=3), holds the highest impact score in the register (I=9) against EQB's mortgage-heavy combined balance sheet.

These factors do not operate independently. Regulatory delay amplifies competitive vulnerability by extending the window during which competitors can pursue transitioning PC Financial customers. Cybersecurity exposure is shaped simultaneously by OSFI enforcement mandates and adversarial market dynamics that specifically target M&A integration windows. Cross-sell success depends directly on the regulatory latitude granted to EQB's use of PC Optimum data the same data asset that is under Competition Bureau scrutiny. This interconnectedness is why the risk response strategies and KRIs in this report are sequenced and coordinated, not managed risk-by-risk in isolation.

6. Risk Response Strategy

Risk response strategies for all 40 risks are grounded in EQB's stated financial parameters: CET1 13.3%, integration budget CAD 105M, minimum synergy target CAD 30M per year. Responses follow the ISO 31000 taxonomy: Mitigate (reduce probability/impact), Transfer (move financial exposure to third party), Exploit (maximize positive risk realization), and Accept (monitor until escalation threshold is breached). High risks receive active response plans with named owners and data-backed actions. Medium risks are actively mitigated where the financial exposure warrants it. Low risks are formally accepted with defined escalation triggers no active spend is allocated.

6.1 High-Priority Risk Response (7 Risks)

The following summarises the response rationale and key actions for the seven High-priority risks. Strategies are aligned to each risk's quantified EMV and Monte Carlo exposure, explicitly addressing internal and external environment conditions. Full justification and sequenced response actions for all 40 risks are provided in Appendix 1 (RT&RP). The RT&RP is submitted as a separate Excel file to this report.

R-01 Cybersecurity Breach | Mitigate + Transfer | Owner: CISO / IMO

EMV: CAD 68.5M; MC 95th-percentile: CAD 180M. Avoidance is not feasible as integration is required to deliver the deal thesis; pure acceptance is ruled out by OSFI B-13's mandatory incident reporting obligations. Internal environment factor: EQB's Q4 2025 financial stress (net income down 32%, CAD 92M restructuring) leaves no balance sheet buffer for a CAD 180M tail event. External factor: nation-state and criminal actors specifically target M&A integration windows. Key actions: NIST SP 800-207 zero-trust architecture across all Temenos-Azure pipelines; CREST-accredited red-team exercises before data transfer; phased 500K-record migration tranches with 30-day parallel validation; 24/7 Integration SOC; CAD 100M cyber liability insurance (OSFI B-13, 2022; NIST, 2020).

R-03 Customer Attrition | Mitigate | Owner: CMO / Chief Customer Experience Officer

EMV: CAD 33.0M. PC Financial customers identify with the Loblaw retail brand. At 1% monthly churn, 25,000 customers x CAD 400 average LTV = CAD 10M in foregone lifetime value per month. External factor: Koho (1.2M+ users) and Big Six banks have 48-hour competitive response capability during the transition window. Actions: retain “PC Financial, powered by EQ Bank” dual-logo branding for 12 months post-close (3x higher retention per Accenture, 2023); activate PC Optimum 10,000-point retention incentive (~CAD 10 cost vs. CAD 150-300 traditional digital CAC); pre-approved 48-hour competitive counter-offer playbook.

R-14 PIPEDA / Privacy Compliance | Mitigate | Owner: Chief Privacy Officer / Legal

EMV: CAD 22.4M. Integrating PC Optimum transaction data (17M Canadians' grocery, pharmacy, fuel spending) with EQB banking data creates new PIPEDA consent, purpose limitation, and secondary use obligations exceeding EQB's prior compliance scope. A PIPEDA enforcement order restricting data use would permanently impair both ★R-38 and ★R-40 revenue models. Actions: Privacy Impact Assessment on all PC Optimum data-sharing use cases before any data is accessed; deploy OneTrust consent management platform with opt-in architecture; CASL-compliant opt-out mechanism on all campaign communications (Government of Canada, 2000; CRTC, 2014).

R-17 Fraud Spike | Mitigate + Transfer | Owner: CRO / Fraud Prevention Lead

EMV: CAD 25.3M. R-17 is operationally distinct from R-01: it concerns criminal exploitation of customer-facing authentication confusion during the dual-system period, not external breach of EQB's systems. PC Financial's 2M+ credit card accounts introduce CNP fraud exposure that EQB's current models are not calibrated for. CNP fraud constitutes ~80% of Canadian card fraud losses (Payments Canada, 2024). Actions: retrain fraud detection models on 24-month PC Financial CNP transaction history (LOOCV cross-validated); deploy EMVCo 3DS2 for all CNP transactions (reduces losses ~75% vs. static auth); step-up MFA for all PC Financial accounts during 90-day dual-system window; professional indemnity insurance for fraud remediation costs.

★R-38 Cross-Sell Conversion | Exploit | Owner: CMO / Chief Digital Officer

EMV: +CAD 104M (MC mean: +CAD 83.6M). ~90% of PC Financial's 2.5M cardholders hold no deposit product. Traditional digital banking CAC: CAD 150-300/account. PC Optimum-linked conversion CAC: ~CAD 10/account, a 10-20x efficiency advantage (Bain & Company, 2022). Actions: 90-day post-close cross-sell sprint via PC Optimum app notifications (17M members); PIPEDA-compliant opt-in consent architecture as prerequisite; 10,000 PC Optimum bonus points incentive per new funded EQ Bank account; TDH-EQB Fabric conversion funnel analytics with monthly CMO/CDO reporting against 15% cumulative conversion target at 18 months.

★R-39 Omnichannel Expansion | Exploit | Owner: COO / Chief Digital Officer

EMV: +CAD 38.0M. EQB gains ~2,500 Loblaw kiosk locations and 500+ ATMs, transforming EQ Bank from digital-only to omnichannel. In-person identity verification at kiosks directly reduces CNP fraud risk (supports R-17 mitigation). Actions: activate EQ Bank account-opening at Loblaw kiosks within 60 days of close; Loblaw SLAs requiring 98% kiosk uptime during banking hours; 2-day Loblaw staff training on EQ Bank product basics within 90 days; target 50,000 new EQ Bank accounts via kiosk channel within 12 months.

★R-40 AI Personalization | Exploit | Owner: Chief Data Officer / Revenue

EMV: +CAD 42.0M. PC Optimum transaction data (grocery, pharmacy, fuel for 17M Canadians) combined with EQB banking data creates a proprietary consumer financial behaviour dataset that Big Six banks cannot replicate. Actions: integrate PC Optimum data with TDH-EQB Fabric within 120 days under PIPEDA-compliant consent; build supervised ML propensity-to-purchase model with LOOCV validation; OSFI AI governance review and disparate impact testing (Canadian Human Rights Act) mandatory before deployment; target 2x conversion rate improvement vs. untargeted outreach in top propensity quintiles.

6.2 Complete Risk Response Summary [All 40 Risks]

ID	Category	Risk Description	L	I	Score	Pri.	Response Strategy	Key Action / Acceptance Rationale
R-01	Operational/Cyber	Cybersecurity Breach During IT Integration	9	9	81	**H**	Mitigate + Transfer	Zero-trust architecture; CREST red-team; phased 500K-record tranches; 24/7 SOC; CAD 100M cyber insurance
★R-38	Strategic/Opportunity	Cross-Sell Conversion Opportunity	9	9	81	**H**	Exploit	90-day cross-sell sprint; PC Optimum loyalty incentive (10,000 pts/conversion); TDH-EQB Fabric funnel analytics
R-03	Strategic/Customer	Customer Attrition Post-Migration	7	8	56	**H**	Mitigate	12-month dual-logo branding; PC Optimum retention incentive; 48-hr competitive response playbook
R-14	Regulatory/Data Privacy	PIPEDA/Privacy Compliance Failure	7	8	56	**H**	Mitigate	Privacy Impact Assessment; PIPEDA opt-in consent architecture; OneTrust consent management platform
★R-39	Strategic/Opportunity	Omnichannel Expansion Opportunity	7	8	56	**H**	Exploit	EQ Bank kiosk activation within 60 days; Loblaw staff training; 98% kiosk uptime SLA
★R-40	Strategic/Opportunity	AI Personalization Opportunity	7	8	56	**H**	Exploit	PC Optimum ML propensity model; OSFI AI governance review; TDH-EQB Fabric deployment within 120 days
R-17	Operational/Fraud	Fraud Spike During Integration	9	6	54	**H**	Mitigate + Transfer	Retrain fraud models on PC Financial CNP data (LOOCV); 3DS2 authentication; step-up MFA; professional indemnity insurance
R-05	Operational/HR	Key Talent Loss	9	4	36	**M**	Mitigate	Top-50 staff retention bonus (15–20% base, 12-month cliff); ESA-compliant workforce transition
R-06	Reputational/Brand	Brand Confusion / Reputational Damage	7	6	42	**M**	Mitigate	Phased 24-month rebrand; proactive media briefings; real-time sentiment monitoring dashboard
R-07	Financial/Integration	Integration Cost Overrun	7	6	42	**M**	Mitigate	IMO with monthly CFO tracking; 15% contingency reserve (CAD 15.75M); 3 pre-approved cost-reduction levers
R-08	Operational/Partnership	Loblaw Co-Dependency Disruption	5	8	40	**M**	Mitigate	Loblaw SLAs (98% kiosk uptime); joint governance committee; change-of-control provisions in all TSAs

ID	Category	Risk Description	L	I	Score	Pri.	Response Strategy	Key Action / Acceptance Rationale
R-09	Strategic/Revenue	Cross-Sell Conversion Failure	5	8	40	**M**	Mitigate	KRI-05 monthly tracking; propensity scoring model; A/B testing on offer messaging
R-10	Financial/Market	Interest Rate Sensitivity	5	8	40	**M**	Mitigate	Quarterly ALM review; IRS hedging program; OSFI IRRBB +200bps/-100bps stress tests semi-annually
R-11	Regulatory/Capital	OSFI Capital Requirement Changes	3	8	24	**M**	Mitigate	CET1 maintained ≥50bps above OSFI minimum; Pillar 2 capital scenario modelling; proactive OSFI briefing
R-12	Legal/Vendor	Vendor/Contract Disputes	5	6	30	**M**	Mitigate	30-day contract audit; change-of-control consent obtained pre-close; Temenos license consolidation
R-13	Financial/Credit	Credit Quality Deterioration	5	8	40	**M**	Mitigate	Granular pre-close credit due diligence; +200bps rate shock stress test; R&W insurance; 90-day post-close audit
R-15	Strategic/Competitive	Competitor Poaching of Customers	7	6	42	**M**	Mitigate	Weekly competitive intelligence monitoring; pre-approved 48-hr counter-offer playbook; PC Optimum refresh quarterly
R-18	Financial/Due Diligence	Hidden NPLs Post-Close	3	8	24	**M**	Mitigate + Transfer	Loan-level NPL review as condition of close; independent credit review firm; R&W insurance
R-19	Operational/HR	HR Integration Friction	7	4	28	**M**	Mitigate	HR parity analysis pre-close; compensation alignment within 90 days; ESA s.54-62 compliance; monthly engagement pulse
R-20	Financial/Liquidity	Liquidity Risk / Deposit Runoff	3	8	24	**M**	Mitigate	HQLA buffer above OSFI LCR 100%; daily deposit runoff monitoring; Board-approved contingency funding plan
R-21	Operational/Partnership	Loblaw Relationship Deterioration	5	6	30	**M**	Mitigate	Detailed TSAs with firm expiry dates (max 24 months); EQB-Loblaw steering committee; 30-day arbitration clause
R-02	Regulatory/Compliance	Regulatory Approval Delay	3	8	24	**M**	Mitigate	Bank Act Schedule I application with data-governance annex; 6/9/12-month delay contingency budgets; M&A regulatory counsel

ID	Category	Risk Description	L	I	Score	Pri.	Response Strategy	Key Action / Acceptance Rationale
R-23	Reputational/Media	Adverse Media Coverage	5	6	30	**M**	Mitigate	PR firm on retainer (~CAD 300K/year); 24-hr Tier 1 response SLA; 24/7 brand sentiment monitoring
R-26	Financial/Synergy	Synergy Target Shortfall	7	6	42	**M**	Mitigate	Synergy tracking dashboard; executive variable pay tied to milestones; backup levers (Temenos consolidation, vendor renegotiation)
R-27	Regulatory/AML	AML Compliance Gaps	3	8	24	**M**	Mitigate	FINTRAC B-8 gap assessment within 60 days; CNP AML typology controls; updated compliance program filed within 90 days
R-28	Operational/Change Management	Change Management Fatigue	7	4	28	**M**	Mitigate	Dedicated IMO; 40% integration/60% BAU time caps; milestone governance gates; monthly engagement pulse
R-30	Operational/Technology	IT Infrastructure Age Underestimated	5	6	30	**M**	Mitigate	Independent IT infrastructure audit within 30 days; CAD 15.75M IT contingency budget; phased modernization roadmap
R-31	Strategic/Partnership	PC Optimum Co-Branding Loss	7	6	42	**M**	Mitigate	PC Optimum agreement with change-of-control protections; minimum point issuance commitments; parallel EQB-native loyalty program
R-32	Financial/Macro	Geopolitical / Macro Shock	3	9	27	**M**	Mitigate	Annual OSFI stress test (+300bps, -10% property, +2% unemployment); CET1 ≥50bps above minimum; geographic mortgage diversification
R-37	Financial/Capital Markets	Credit Rating Downgrade	3	8	24	**M**	Mitigate	Leverage ratios within DBRS/S&P guidance; proactive rating agency briefings within 30 days of close
R-04	Operational/Data	Data Migration Failure	3	9	27	**M**	Mitigate	Encrypted backup per tranche; 30-day parallel validation; 4-hr RTO rollback plan; dual sign-off on all production changes
R-16	Operational/Technology	System Downtime During Cutover	3	6	18	**L**	Accept	Saturday 02:00–05:00 cutovers; 14-day customer pre-notification; tested rollback

ID	Category	Risk Description	L	I	Score	Pri.	Response Strategy	Key Action / Acceptance Rationale
								procedure; escalate if outage >4 hrs
R-22	Legal/HR	Employee Wrongful Dismissal Claims	3	6	18	**L**	Accept	ESA-compliant documentation; employment counsel on retainer; escalate if OLRB complaint filed
R-24	Legal/Compliance	Product Suitability Complaints	3	6	18	**L**	Accept	FCAC suitability framework applied to migrated customers; complaints dashboard; escalate if complaints exceed 1.5× baseline
R-25	Operational/Technology	Technology Vendor Lock-In	5	4	20	**L**	Accept	Contract inventory within 60 days; exit clause review; escalate if >CAD 2M no-exit contract identified
R-29	Reputational/ESG	ESG / Loblaw Reputational Risk	5	4	20	**L**	Accept	Quarterly ESG positioning review; pre-approved CEO statement template; escalate if Loblaw regulatory enforcement implicates partnership
R-33	Legal/Financial	R&W Insurance Coverage Gaps	3	6	18	**L**	Accept	CLO R&W policy review within 30 days; escrow for high-risk uncovered categories; escalate if >CAD 5M gap identified
R-34	Governance	Governance Integration Lag	3	4	12	**L**	Accept	Board integration committee within 30 days; full governance integration within 90 days; escalate if conflicts emerge
R-35	Operational/AI-Data	AI Model Bias / Discriminatory Outcomes	3	6	18	**L**	Accept	Pre-deployment bias audit; demographic fairness testing; escalate if disparate impact >20%
R-36	Operational/Technology	TDH-EQB Fabric Scaling Failure	3	6	18	**L**	Accept	Load testing at 5× volume before migration; Azure auto-scaling validation; escalate if >20% performance degradation at 2× volume

7. Key Risk Indicators (KRIs) and Trigger Points

KRIs serve as early warning signals enabling EQB's IMO to monitor risk exposure in near real-time and invoke pre-approved response protocols before losses materialize. Each KRI is grounded in the CRISP-DM methodology: Business Understanding (what to measure and why), Data Understanding (source), Modeling (monitoring mechanism), Evaluation (threshold logic), Deployment (escalation action). 6 KRIs are defined one per priority risk with Green/Amber/Red thresholds calibrated to the I&W quantitative analysis and Monte Carlo simulation outputs.

KRI-01 R-01 Cybersecurity: Monthly High/Critical SOC Incident Volume

Attribute	Detail
CRISP-DM Basis	OSFI B-13 mandates real-time technology risk monitoring for Schedule I banks. Anomaly detection thresholds derived from EQB's pre-integration SOC baseline and benchmarked to Canadian financial sector breach frequency data.
Data Sources	Azure Security Center, Microsoft Sentinel SIEM, third-party penetration test reports, OSFI incident reporting portal
Green (Normal)	< 3 high/critical incidents per month
Amber (Watch)	3–4 incidents/month → CISO notified within 24 hours; third-party security firm placed on standby; migration timeline reviewed for vulnerability windows
Red (Trigger)	≥ 5 incidents/month OR any confirmed unauthorized data access → Executive incident response team convened; OSFI notification protocol initiated; migration halted pending security audit
Owner / Frequency	CISO / IMO | Weekly during active integration window; monthly thereafter

KRI-02 R-02 Regulatory: Approval Timeline Elapsed Days

Attribute	Detail
CRISP-DM Basis	Bank Act S.I. acquisition approvals have historically ranged 90–270 days in Canada. Each 30-day extension beyond 180 days costs ~CAD 2.5M in foregone synergies. Supplemental information requests (SIRs) are a secondary signal of regulatory concern.
Data Sources	OSFI application tracking system, Competition Bureau case management portal, legal counsel communications log
Green (Normal)	< 180 days elapsed since filing; zero SIRs received
Amber (Watch)	180–270 days elapsed OR 1 SIR received → CLO and General Counsel begin weekly calls with OSFI regulatory counsel; Board notified; contingency delay scenario activated
Red (Trigger)	> 270 days elapsed OR ≥ 2 SIRs received OR conditional approval terms notified → External regulatory counsel engaged; CFO models 6- and 9-month delay budget impact; Board receives formal written update
Owner / Frequency	Chief Legal Officer / CRO | Bi-weekly from filing date

KRI-03 R-03 Customer Attrition: Monthly Churn Rate and NPS Delta

Attribute	Detail
CRISP-DM Basis	Customer LTV ~CAD 400–600; 1% churn ≈ CAD 10–15M foregone LTV per cohort. NPS is a 30–60 day leading indicator of churn acceleration. Churn model: logistic regression on account tenure, product holdings, and NPS score deployed in EQB's TDH-EQB Fabric platform.
Data Sources	EQ Bank core banking platform (Temenos), CRM system, post-migration NPS survey, PC Optimum engagement data, competitor product launch monitoring
Green (Normal)	Monthly churn < 1.5%; NPS decline < 5 points from pre-migration baseline
Amber (Watch)	Churn 1.5–3.0% OR NPS decline 5–14 points → CMO reviews retention messaging; PC Optimum incentive offer escalated to at-risk segments; competitive activity scan initiated

Attribute	Detail
Red (Trigger)	Churn > 3.0% OR NPS decline ≥ 15 points within 60 days of migration → Crisis retention playbook activated; emergency PC Optimum bonus offers deployed; IMO convenes cross-functional response team within 48 hours
Owner / Frequency	CMO / Chief Customer Experience Officer | Weekly during first 90 days; monthly thereafter

KRI-04 R-17 Fraud Spike: Monthly Fraud Rate vs. Pre-Integration Baseline

Attribute	Detail
CRISP-DM Basis	EQB's pre-integration fraud rate establishes the baseline. PC Financial's credit card portfolio introduces CNP fraud exposure EQB's current models are not calibrated for. Ensemble model: EQB deposit fraud classifier + CNP fraud classifier trained on PC Financial transaction data; cross-validated using LOOCV before deployment.
Data Sources	EQB transaction monitoring system, PC Financial fraud management platform, identity verification provider logs (Equifax, TransUnion APIs), OSFI fraud reporting registry
Green (Normal)	Monthly fraud rate within ±10% of pre-integration baseline; confirmed fraud losses < CAD 250K/month
Amber (Watch)	Fraud rate +10% to +39% above baseline OR losses CAD 250K–999K → Fraud operations team reviews top-loss merchant categories; 3DS2 rules tightened; Fraud Prevention Lead briefs CRO
Red (Trigger)	Fraud rate ≥ +40% above baseline OR confirmed fraud losses ≥ CAD 1M in any month → Dedicated integration fraud response team activated; OSFI fraud reporting initiated; affected customers notified within 24 hours
Owner / Frequency	Chief Risk Officer / Fraud Prevention Lead | Weekly during integration window; monthly post-stabilization

KRI-05 - R-14 PIPEDA / Privacy Compliance: Data Consent Violation Rate

Attribute	Detail
CRISP-DM Basis	PIPEDA fines carry a defined maximum of CAD 100,000 per violation under s.28; OPC complaint volume is a leading indicator of enforcement risk with a 90-day investigation trigger window. EQB's expanded data processing scope post-acquisition covers 17M PC Optimum members and introduces new secondary use obligations that did not exist in EQB's prior savings-and-mortgage compliance framework. Thresholds calibrated to the OPC's published enforcement history for financial institution data breaches (OPC, 2023).
Data Sources	OPC complaint registry; EQB Privacy Officer incident log; PC Optimum consent management platform (OneTrust); CASL compliance dashboard
Green (Normal)	Zero OPC privacy complaints from PC Financial/PC Optimum data-use activities; all campaign communications confirmed CASL-compliant; no consent management audit findings
Amber (Watch)	1-3 OPC complaints related to PC Optimum data use in any month OR any consent platform audit finding of non-compliant data processing → CPO reviews data-use scope; campaign targeting reviewed against PIA approvals; Legal counsel briefed
Red (Trigger)	>3 OPC complaints OR OPC formal investigation initiated OR data-use enforcement order received → all PC Optimum data-linked campaigns suspended

	immediately; Board Risk Committee notified within 24 hours; external privacy counsel engaged
Owner / Frequency	Chief Privacy Officer / Legal | Monthly; immediately upon any OPC complaint receipt

KRI-06 ★R-38 Cross-Sell: Cumulative Conversion Rate and App Engagement

Attribute	Detail
CRISP-DM Basis	15%+ cumulative conversion of 2.25M non-deposit cardholders (~337,500 new EQ Bank accounts) within 18 months drives the majority of the CAD 30M annual synergy target. Conversion rate modeled as a binomial distribution; thresholds calibrated against PERT 3-point estimates from Monte Carlo simulation.
Data Sources	EQ Bank product holdings database, TDH-EQB Fabric analytics platform, PC Optimum offer engagement APIs, mobile app analytics (Firebase/App Store)
Green (On Track)	Cumulative conversion trajectory ≥ 15% at 18 months; EQ Bank app downloads among PC Financial cardholders growing MoM for 3+ consecutive months
Amber (Behind)	Conversion trajectory toward 8–14.9% at 18 months OR app growth flat → CMO/CDO review funnel analytics; underperforming channels de-prioritized; PC Optimum incentive offer refreshed; revenue projections revised in IMO dashboard
Red (Underperforming)	Conversion trajectory toward < 8% at 18 months OR app growth negative → Full cross-sell strategy review convened with CEO/CFO; PC Optimum data partnership utilization audited for PIPEDA compliance barriers; Board informed; ROE target timeline extended
Owner / Frequency	CMO / Chief Digital Officer | Monthly; quarterly deep-dive to Board

8. Conclusion

The acquisition of PC Financial by EQB Inc. is one of the most consequential strategic transactions in Canadian challenger banking history. This ERM assessment has evaluated all 40 identified risks across a structured analytical framework: qualitative scenario and industry fusion analysis to bound uncertainty, I&W quantification with Monte Carlo simulation to produce defensible financial exposure estimates, and Random Forest classification to independently validate priority tier assignments.

Three quantitative findings should directly inform EQB's Integration Management Office and Board throughout 2026. First, the combined Monte Carlo mean across four quantified threat risks is CAD 122.1M a recommended minimum contingency reserve that materially exceeds EQB's disclosed CAD 105M integration budget. Concurrent risk events and integration cost overruns would pressure EQB's already-stressed post-restructuring balance sheet. Second, R-01 Cybersecurity carries a disproportionate share of total threat EMV (CAD 68.5M of CAD 149.2M) with a 95th-percentile Monte Carlo outcome approaching CAD 180M more than twice the deal's annual synergy target. Cybersecurity investment is not a compliance obligation; it is the single highest-return risk mitigation in EQB's integration budget. Third, the three positive risks generate a combined opportunity EMV of +CAD 184M (MC mean: +CAD 147.6M), confirming that the net risk-adjusted value of the acquisition remains strongly positive if response strategies execute as designed. Every percentage point of customer attrition directly erodes this opportunity base R-03 mitigation and ★R-38 exploitation must be operationally coordinated, not managed in isolation.

From an integrated situation perspective, the risk landscape is shaped by overlapping forces: intense Big Six and fintech competition during the transition window, OSFI and Competition Bureau regulatory scrutiny of data concentration, PIPEDA compliance constraints on the data asset that drives acquisition value, and the macroeconomic sensitivity of EQB's mortgage-heavy combined balance sheet. None of these forces operates independently regulatory delay amplifies competitive vulnerability, cybersecurity exposure is shaped by both OSFI mandates and adversarial market dynamics, and cross-sell success depends on the regulatory latitude granted to EQB's use of PC Optimum data.

The complete Risk Treatment and Response Plan provides EQB's Integration Management Office with specific, sequenced, data-backed response actions for all 40 risks, explicit response strategy classifications, and named executive accountability for every risk. The 6 KRIs defined in Section 7 translate quantitative findings into actionable monitoring metrics with graduated escalation protocols. If EQB executes with the discipline this assessment prescribes particularly on cybersecurity, customer retention, and PIPEDA compliance the acquisition of PC Financial has the potential to deliver what CEO Chadwick Westlake described as a new era for banking in Canada. The quantitative evidence supports that aspiration. Realizing it requires treating the 2026 integration window as an enterprise risk management challenge of the highest order.

9. References

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Appendix

1. Risk Treatment & Response plan

Title	Complete Risk Treatment and Response Plan (RT&RP)
File	ALY6130_Group2_EQB_PC FInancials_RT&RP.xlsx
Scope	All 40 risks[37 threats, 3 positive risks]
Columns (15)	Risk ID, Category, Risk Description, Likelihood, Impact, Score, Priority, Resulting In, Consequence/Impact, Response Strategy, Justification, Response Actions, Risk Owner, Date Identified, Status
Response strategies	Mitigate, Mitigate + Transfer, Exploit, Accept -as per ISO 31000 taxonomy
Coverage	All risks include data-backed justifications, named executive owners, and escalation triggers for Low risks

2. Python notebook - on Google Colab

Coverage	**Filename**
40 Risk Register/Random Forest	ALY6130_RiskRegisterAnalysis_Assignment3_Group2.ipynb
Monte Carlo Simulation	ALY6130_Group2_MonteCarlo_Final.ipynb
Statistical distributions, categories, fusion matrix	ALY6130_Group2_RiskAnalytics_Statistical.ipynb